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VANGUARD

2023 First Quarter Results

Investor Conference

May 3, 2023

Agenda

- Welcome
- 1Q23 Consolidated Financial Results
- Remark
- Q & A

Disclaimer

This presentation material contains certain forward-looking statements that are based on current expectations and are subject to known and unknown risks and uncertainties that could cause actual results to differ materially from those expressed or implied by such statements.

1Q23 Result Highlights

Amount : NT$ Million	1Q23	4Q22	1Q22
	Amount	Amount	Amount
Net Revenue	8,187	9,573	13,492
Net Income	1,364	2,479	4,092
EPS (NT$)	0.82	1.47	2.47
Cash and Financial Instruments	33,927	34,843	32,452
Equity	46,613	45,351	39,960
Total Wafers Shipped (Kpcs)	414	441	757

Statements of Comprehensive Income

Amount: NT$Million *Selected Items from Statements of Comprehensive Income*	1Q23		4Q22		1Q22		QoQ	YoY
	Amount	%	Amount	%	Amount	%	%	%
Net Revenue	8,187	100.0	9,573	100.0	13,492	100.0	(14.5)	(39.3)
Cost of Revenue	(5,728)	(70.0)	(5,819)	(60.8)	(6,966)	(51.6)	(1.6)	(17.8)
Gross Profit	2,459	30.0	3,755	39.2	6,526	48.4	(34.5)	(62.3)
Operating Expenses	(1,093)	(13.4)	(1,292)	(13.5)	(1,538)	(11.4)	(15.4)	(28.9)
Operating Income	1,365	16.7	2,462	25.7	4,988	37.0	(44.5)	(72.6)
Net Non-operating Income	335	4.1	445	4.6	83	0.6	(24.8)	302.1
Income before Income Tax	1,700	20.8	2,907	30.4	5,071	37.6	(41.5)	(66.5)
Net Income	1,364	16.7	2,479	25.9	4,092	30.3	(45.0)	(66.7)
Diluted EPS (NT$)	0.82		1.47		2.47		(44.2)	(66.8)

Balance Sheets & Key Indices

Selected Items from Balance Sheets	Mar. 31, 2023		Dec. 31, 2022		Mar. 31, 2022	
	Amount	%	Amount	%	Amount	%
Total Assets	**101,780**	**100.0**	**100,940**	**100.0**	**85,711**	**100.0**
Cash & Financial Instruments	33,927	33.3	34,843	34.5	32,452	37.9
Accounts Receivable	4,800	4.7	4,962	4.9	9,020	10.5
Inventories	6,160	6.1	5,880	5.8	4,257	5.0
Total Current Assets	**45,629**	**44.8**	**46,255**	**45.8**	**46,523**	**54.3**
Property, Plant and Equipment	**39,271**	**38.6**	**38,504**	**38.2**	**28,791**	**33.6**
Notes and Accounts Payable	1,097	1.1	1,377	1.4	1,467	1.7
Accrued Liabilities and Others	20,301	19.9	19,717	19.5	16,548	19.3
Total Current Liabilities	**21,398**	**21.0**	**21,093**	**20.9**	**18,015**	**21.0**
Total Non-current Liabilities	**33,769**	**33.2**	**34,496**	**34.2**	**27,735**	**32.4**
Total Equity	**46,613**	**45.8**	**45,351**	**44.9**	**39,960**	**46.6**

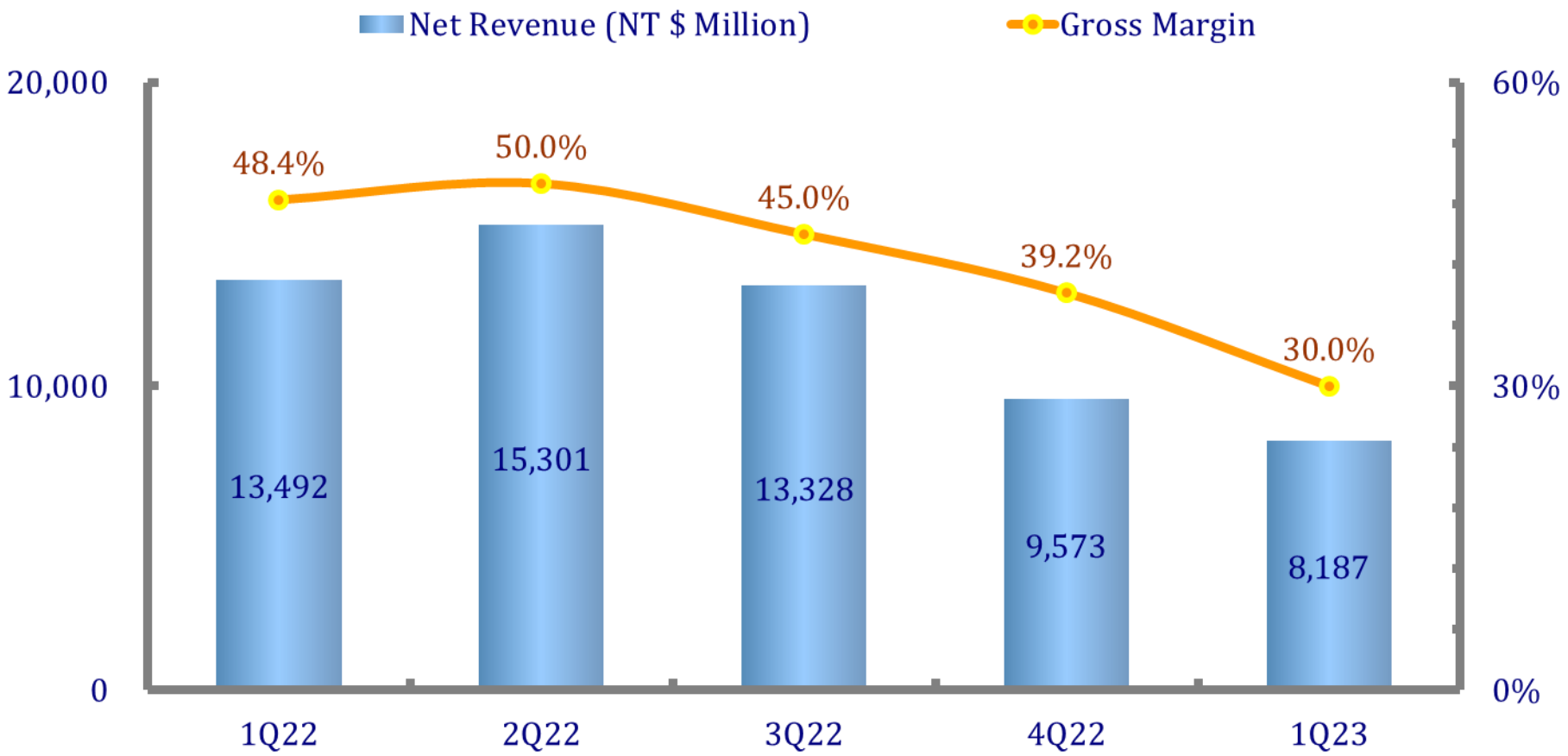
Key Indices			
A/R Turnover Days	**54**	**51**	**62**
Inventory Turnover Days	**96**	**65**	**54**
Debt Ratio	**54%**	**55%**	**53%**
Current Ratio	**213%**	**219%**	**258%**
Net Working Capital	**24,231**	**25,162**	**28,508**

Cash Flows

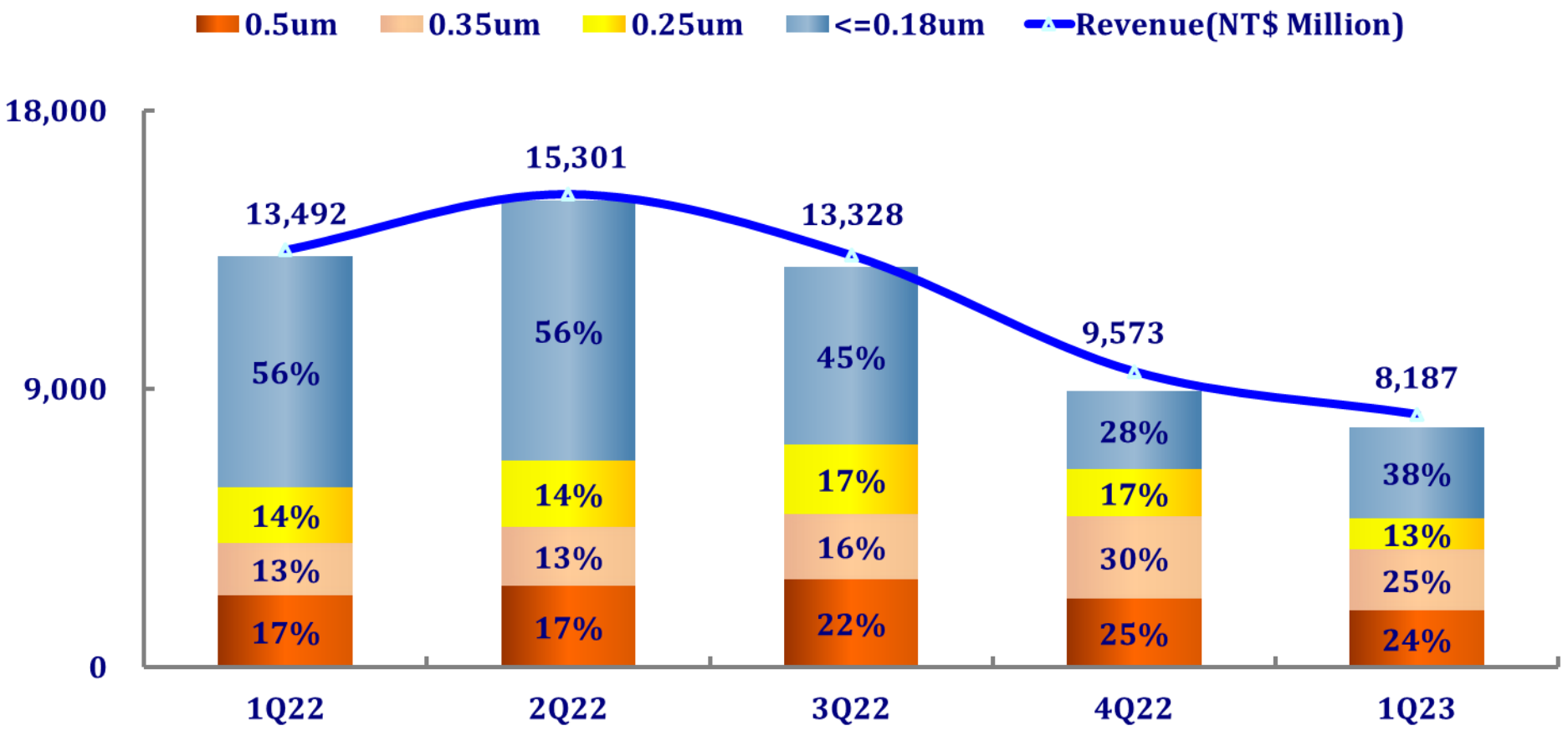
Amount : NT$ Million	1Q23	4Q22	1Q22
Selected Items from Cash Flows	**Amount**	**Amount**	**Amount**
Cash - Beginning of Period	***30,857***	***30,128***	***16,387***
– Income before Income Tax	1,700	2,907	5,071
– Depreciation & Amort.	1,824	1,510	1,194
– Changes of Notes and Accounts Receivable	100	2,431	388
– Changes of Inventories	(280)	(1,036)	(227)
– Prepayment from Customers	869	284	3,760
– Income Taxes Paid	(21)	(61)	(0)
– Changes of Notes and Accounts Payable/ Others	(1,426)	(1,109)	(6)
From Operation	**2,766**	**4,926**	**10,181**
– Increase in Financial Assets	(2,342)	(1,339)	(660)
– Acquisitions of PP&E and Intangible Assets	(2,871)	(2,208)	(5,246)
– Proceeds from Disposal of L-T Stock Investments	0	78	0
– Refundable Deposit and Others	98	(817)	(1)
From Investment	**(5,115)**	**(4,285)**	**(5,906)**
– Issuance of Bonds	0	0	7,000
– Increase in Guarantee Deposits Received from Customers	10	167	1,596
– Decrease in Lease Liabilities	(54)	(53)	(56)
– Others	(1)	0	16
From Financing	**(44)**	**114**	**8,556**
Net (Decrease) Increase in Cash	**(2,393)**	**754**	**12,831**
Effect of Exchange Rate Changes	(37)	(25)	209
Cash - End of Period	***28,428***	***30,857***	***29,426***

Remarks

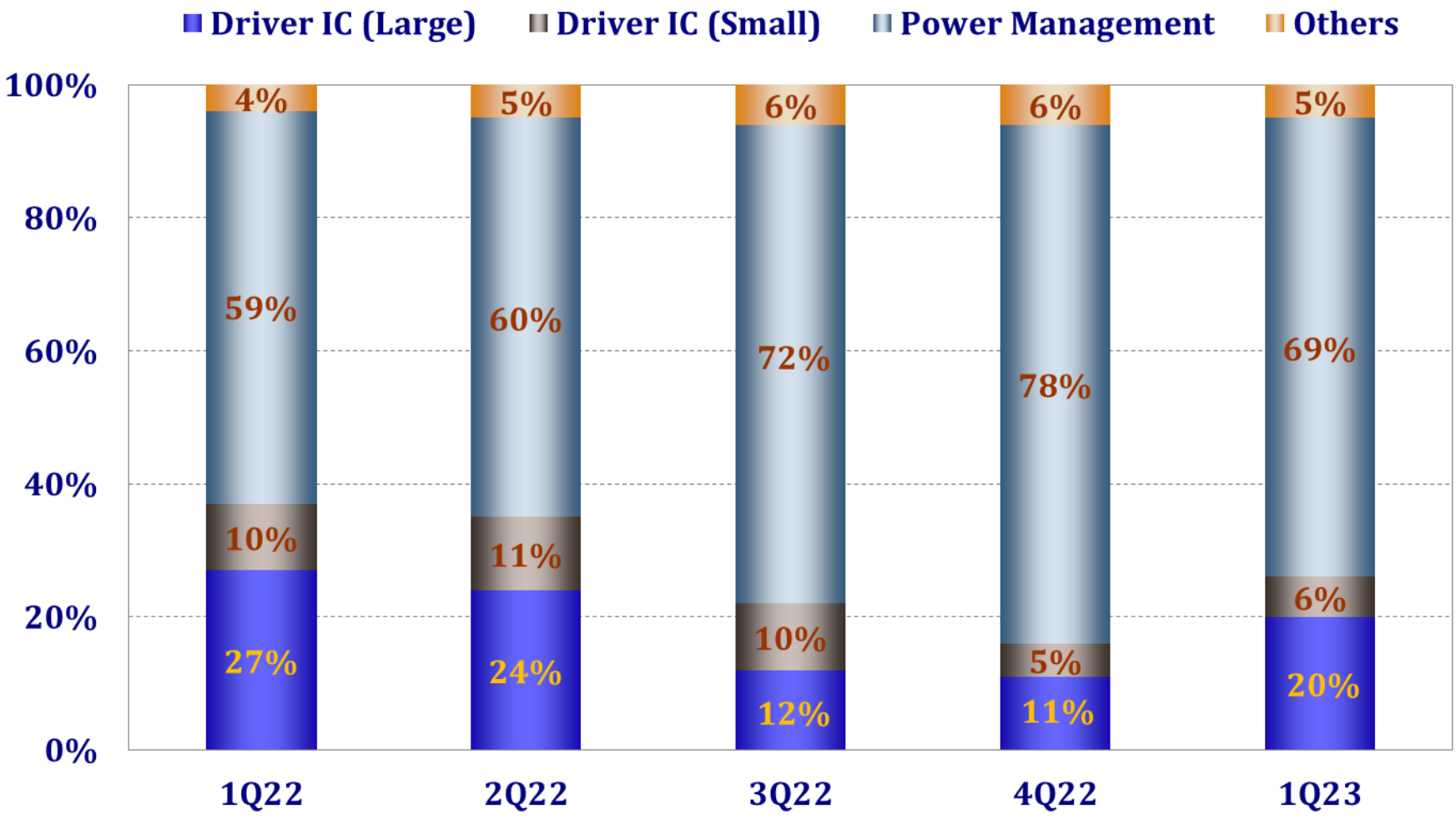
Net Revenue & Gross Margin



Revenue Breakdown by Technology



Revenue Breakdown by Platforms



1Q23 Result Summary & Guidance Comparison

1Q23	Result	Guidance
Revenue	NT$8,187M	to be between NT$ 7.9 billion and NT$ 8.3 billion
Gross Profit Margin	30.0%	to be between 29% and 31%
Operating Profit Margin	16.7%	to be between 14.5% and 16.5%

2Q23 Guidance

- Revenue to be between NT$ 9.4 billion and NT$ 9.8 billion;
- Gross profit margin to be between 29% and 31%;
- Operating profit margin to be between 16.5% and 18.5%.

Q & A

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